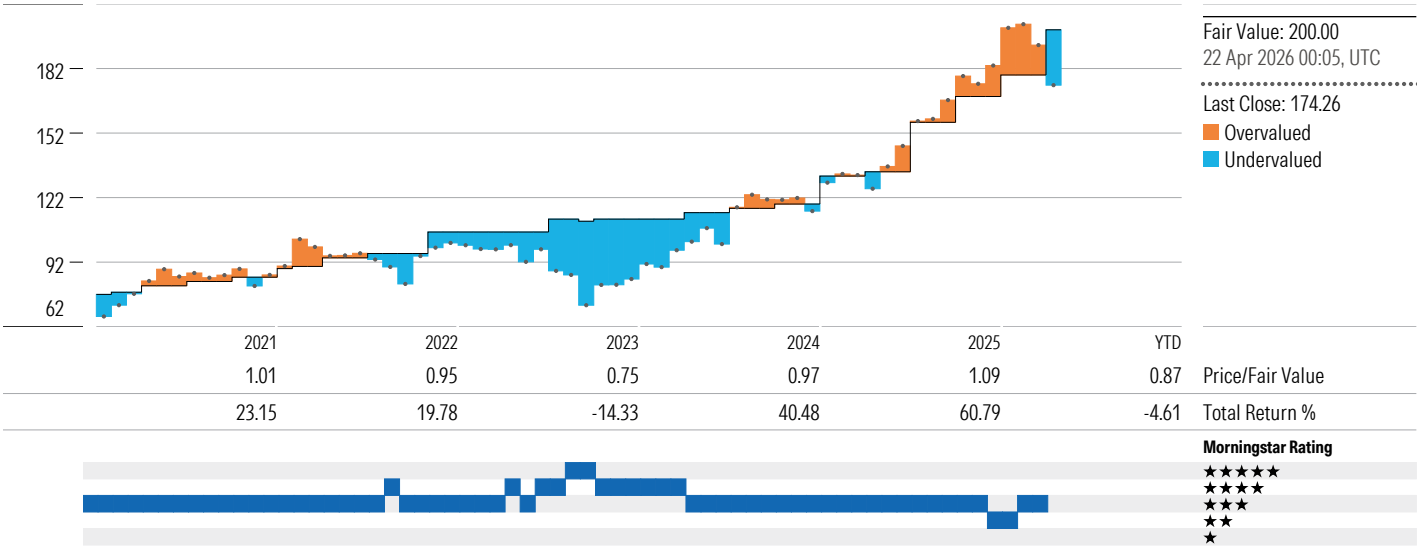
RTX Corp RTX ★★★★ 27 Apr 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
174.26 USD 24 Apr 2026	200.00 USD 22 Apr 2026 05:05, UTC	0.87	233.49 USD Bil 27 Apr 2026	Wide	Large Blend	Medium	Exemplary	24 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.01	0.95	0.75	0.97	1.09	0.87	Price/Fair Value
	23.15	19.78	-14.33	40.48	60.79	-4.61	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 24 Apr 2026. Last Close as of 24 Apr 2026. Fair Value as of 22 Apr 2026 00:05, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

RTX Earnings: Solid Progress Across all Three Franchises; Fair Value Estimate Increases by 12%

Analyst Note Nicolas Owens, Equity Analyst, 22 Apr 2026

RTX increased first-quarter revenue 9% from 2025 to $22 billion, led by strong commercial aftermarket sales and a jump in missile-related sales at Raytheon. Adjusted segment profit was up 9% in the quarter, with flattish margin at Collins offsetting expansion at both Pratt & Whitney and Raytheon.

Why it matters: We saw the quarter as quite robust, with sales exceeding our forecast by about $500 million and two of the firm's primary business segments expanding adjusted operating margins.

- Pratt & Whitney's engine deliveries and aftermarket revenue outstripped our forecast and continued a trend of double-digit expansion in that franchise, driven by high global aircraft utilization, especially among older jets as airlines await delayed newer models due to ongoing supply chain backups.
- Looking ahead, management provided a slightly higher 2026 revenue estimate for the Raytheon business, as orders for its widely-equipped Patriot anti-missile battery and related munitions have accelerated.

The bottom line: We've increased our fair value estimate for wide-moat RTX's shares to $200 from $179, reflecting some time value of money as well as our increased confidence that the company can meet aftermarket demand and expand margins over time.

Business Strategy & Outlook Nicolas Owens, Equity Analyst, 22 Apr 2026

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Sector Industrials

Industry Aerospace & Defense

Business Description

RTX is an aerospace and defense manufacturer formed from the merger of United Technologies and Raytheon, with roughly equal exposure across three segments, mostly as a supplier to commercial aerospace and to the defense market: Collins Aerospace, a diversified aerospace supplier; Pratt & Whitney, a commercial and military aircraft engine manufacturer; and Raytheon, a defense prime contractor providing a mix of missiles, missile defense systems, sensors, hardware, and communications technology to the military.

RTX's businesses include Collins' aircraft components and systems, Pratt & Whitney's engines, and Raytheon's missiles, sensors, and communications offerings. The combined entity unites strong franchises in the commercial aerospace and defense contracting industries and is unique for its relatively even split between commercial and defense revenue; most other firms in the industry are heavily skewed toward one or the other.

In commercial aerospace, Collins is one of the largest aircraft component and systems suppliers. We think its substantial scale gives it negotiating leverage with aircraft manufacturers, as it provides many systems and can selectively bid on critical components. Meanwhile, Pratt & Whitney is in the early innings of a long ramp-up of delivering thousands of the PW1000 family of geared turbofan, or GTF, jet engines, which power some of the popular Airbus A320neo and all A220 aircraft. With their long service life and the need for recurring overhauls, we see engines as well as some of Collins' aerospace component businesses as fitting the razor-and-blade business model, with the razors as original equipment sales (sometimes at low or no margins) and the blades recurring servicing and parts revenue (including actual turbine blades), often at high margins. Pratt continues to service older V2500 engines that power many of the A320s in service today. We see long-term tailwinds for the GTF as we believe the A320 family will be the dominant narrow-body aircraft of this generation.

In defense, Raytheon provides missiles, missile defense systems, sensors, and secure communications almost exclusively to government agencies. We expect the military's increased focus on modernizing its capabilities to continue material investment in each of these areas. We expect a flattening, rather than declining, budgetary environment as heightened geopolitical tensions are likely to buoy spending despite adding to the federal debt burden. For these reasons, in addition to existing backlogs, we think Raytheon's businesses can continue growing despite a potentially slower overall macro environment.

Bulls Say Nicolas Owens, Equity Analyst, 22 Apr 2026

- Pratt & Whitney's placement on the A320 family and A220 aircraft should substantially increase the company's installed base of engines in coming years, unlocking decades of high-margin servicing revenue.
- The missile and missile defense segment makes products that are prioritized by the National Defense Strategy, which should lead to consistent growth.
- RTX is well balanced between commercial aerospace and defense, which would partially insulate the firm from a downturn in either segment.

Bears Say Nicolas Owens, Equity Analyst, 22 Apr 2026

- One of the driving factors behind the breakup of United Technologies was to create more-focused businesses. While the combined RTX is more focused on aerospace and defense, it is still large and complex.
- Boeing and Airbus have a vested interest in compressing the margins of their component suppliers,

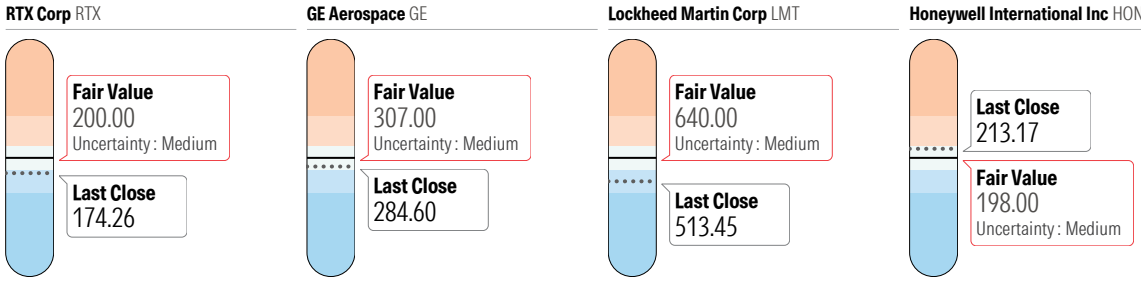
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Competitors



	RTX Corp RTX	GE Aerospace GE	Lockheed Martin Corp LMT	Honeywell International Inc HON
Economic Moat	Wide	Wide	Wide	Wide
Currency	USD	USD	USD	USD
Fair Value	200.00 22 Apr 2026 00:05, UTC	307.00 21 Apr 2026 19:23, UTC	640.00 23 Apr 2026 21:42, UTC	198.00 29 Jan 2026 20:20, UTC
1-Star Price	270.00	414.45	864.00	267.30
5-Star Price	140.00	214.90	448.00	138.60
Assessment	Fairly Valued 27 Apr 2026	Fairly Valued 27 Apr 2026	Undervalued 27 Apr 2026	Overvalued 27 Apr 2026
Morningstar Rating	★★★★27 Apr 2026 21:17, UTC	★★★25 Apr 2026 01:21, UTC	★★★★25 Apr 2026 01:33, UTC	★★25 Apr 2026 01:28, UTC
Analyst	Nicolas Owens, Equity Analyst	Nicolas Owens, Equity Analyst	Nicolas Owens, Equity Analyst	Nicholas Lieb, Equity Analyst
Capital Allocation	Exemplary	Exemplary	Exemplary	Standard
Price/Fair Value	0.87	0.93	0.80	1.08
Price/Sales	2.62	6.26	1.59	3.71
Price/Book	3.54	16.44	15.80	9.94
Price/Earning	32.69	42.23	24.86	23.22
Dividend Yield	1.56%	0.54%	2.63%	2.18%
Market Cap	233.49 Bil	296.89 Bil	118.36 Bil	134.37 Bil
52-Week Range	122.41—214.50	196.86—348.48	410.11—692.00	186.35—248.18
Investment Style	Large Blend	Large Growth	Large Blend	Large Value

such as Collins.

- Repairing manufacturing defects in some Pratt & Whitney engines has cost the company billions in compensation to customers and may reduce airlines' appetite for the products.

Economic Moat Nicolas Owens, Equity Analyst, 22 Apr 2026

Each of RTX's three segments—Collins Aerospace, Pratt & Whitney, and Raytheon—deserves its own wide moat.

Broadly speaking, the aerospace and defense industry is characterized by substantial upfront development costs to create a net present value positive program that usually pays out over decades. Suppliers of aerospace systems tend to recoup the development cost of their products over many years of servicing them with specialized parts and engineering to meet their originally certified specifications. Defense contractors often share the upfront development costs with the government, and once awarded

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the contract to produce a given item, also share some ongoing costs, such as pension provisions, with the customer. RTX's business portfolio, the result of a bold series of corporate mergers and spinoffs in 2018 and 2019, fits well into these frameworks. The relevant moat sources for each of these segments are intangible assets stemming from the substantial accumulated engineering know-how required to enter the market, creating a stiff barrier to entry for external firms as well as deeply entrenched customer relationships and switching costs originating from a razor-and-blade business model in its aerospace segments, component placement in products with decades-long cycles in all segments, and switching costs stemming from mission criticality and lack of viable alternatives.

We assign Collins a wide moat based on intangible assets and switching costs. We see the moatiest parts of this segment as difficult-to-replicate, highly integrated, mission-critical products such as avionics, landing gear, sensors, and flight controls. Historically, component providers have had roughly 15%-20% margins on the product, which is about double the roughly 10% margins of their main customers, the aircraft manufacturers.

We think the primary moat source in this segment is switching costs because these products are deeply integrated into the functions of an aircraft, which are long-cycle products. Changing suppliers for mission-critical components for an already certified aircraft can be risky and difficult. Switching would require substantial effort in redesigning the aircraft to accommodate the new product, production delays for recertification, updated maintenance procedures, and (since many nonengine components of aircraft are not a big portion of the cost of a multi-million-dollar aircraft) would not render material cost savings relative to the aircraft. We think it is unlikely that the aircraft manufacturers would be willing to disrupt their production process enough to switch producers. Further, given the mission criticality of these products and in some cases the complexity of integrating them within an aircraft design, we don't think that it is likely that the manufacturers would be willing to take a risk on an unproven supplier.

We believe that Collins also benefits from substantial intangible assets stemming from the know-how required to produce these components and regulatory assets stemming from the certification process, but these distinguish the firm less distinctly from competitors than its switching costs. Several aerospace and defense companies produce highly specialized sensors for various aircraft, and we think the know-how required to replicate these products is substantial but not insurmountable.

Many of Collins' products operate in a razor-and-blade business model. The majority of Collins' commercial revenue (not government- or defense-related) comes from aftermarket parts and services, accounting for as much as 40% of the segment's overall revenue. This dynamic with a large installed product base confers enormous benefits on incumbents in the form of recurring and predictable revenue streams, often at very high contribution margins, and presents a meaningful barrier for entrants, who would need to take on likely unmaintainable losses to develop and market a product without any service revenue in the same category to maintain it.

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We assign Pratt & Whitney a wide moat. It develops, manufactures, and services jet engines and power turbines for civil and military aircraft, and clearly displays the dynamic of high development costs yielding a high net present value business. While the company has substantial and sticky military exposure as the sole engine producer for the F-35 fighter jet (the largest military program in history), the main driver for this segment remains jet engines for civil aircraft, specifically the GTF engine used on the popular Airbus A320 and A220 models. The simplest explanation of this segment's business model is that it operates as an industrial-scale version of the razor-and-blade business: jet engines are sold along with long-term contracts that include incentives and discounts for airlines to commit to use the manufacturer's parts and service capacity. Several times in the two decades of a typical jet engine's service life, it will spend several weeks up to a few months in the engine shop to be overhauled (while a spare engine keeps the airline's prized jet flying passengers). The revenue associated with such an overhaul can approach or exceed the net purchase price of a new engine. Thus in terms of the moat, we see the original manufacturing aspect benefiting most from the intangible asset of the upfront cost and learning curve of developing the engine, and the aftermarket aspect benefiting from intense customer switching costs (often contractual and reinforced by flight regulations).

Jet engine production for narrow- and wide-bodied aircraft is an oligopoly, with four companies taking virtually all the market. We generally attribute market structure to intangible assets in the form of engineering know-how and some switching costs in the form of a conservative client base, ensuring adoption of the product. The difficulty of replicating technology can be seen in the time required to develop an engine, as it took about 20 years for Pratt & Whitney to develop the GTF. The most direct competitor, the Leap engine made by a GE Aerospace-Safran joint venture, CFM International, took around half the time to develop but was more based on existing architecture than the GTF. Legacy United Technologies spent roughly 4% of consolidated sales on research and development, and we estimate that much of this went to support the large capital requirements of engine development, as a more pure-play engine manufacturer, Safran, spent just under 6% of sales (amounting to around EUR 2 billion) on research and development in 2018. While spending on research and development does not inherently generate a moat, we use this to show that the process of developing the engineering know-how required is not easy to replicate. Incumbents have evidence of their product operating as intended for decades and are a trusted partner of manufacturers and airlines. With potentially lethal ramifications of an engine malfunction, we think that customers are unlikely to switch to an untrusted producer. We also view the fact that the four-company oligopoly has remained over several decades as indicative of the difficulty of entering this market.

Pratt & Whitney competes in a duopoly with CFM to power the large and growing narrow-body jet market. The GTF has about a 42% share of current orders for Airbus' A320neo aircraft and a 100% share of the A220 regional jet, but is not sourced on Boeing's 737 MAX aircraft. Given that Pratt & Whitney has a minority share of the aircraft program with the largest backlog and no share of the second-largest

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program, it will not see quite the same volume as CFM in the narrow-body market, but we think the tailwinds behind this market are strong enough to propel both players to economic profits for decades to come. We're secularly bullish on narrow-bodies because of the global growth of the middle class, who demand air travel as their economies grow, as well as demand in developed markets to replace older planes and their less-efficient engines.

We estimate the GTF fleet could exceed 7,000 engines by 2026, with the recurring, profitable revenue stream from aftermarket parts and service spanning decades and likely exceeding $10 billion annually in its maturity. Further reinforcing the switching costs in the aftermarket for jet engines is the fact that flight regulators certify the airworthiness of an airframe with a given engine model, and the manufacturer determines the required maintenance schedule and parts manual.

We assign the Raytheon segment a wide moat based on intangible assets, stemming from product complexity and a contract structure that largely grants monopolies (at the program level) to government suppliers, and switching costs, largely due to the mission criticality of the product, long product cycles, and a lack of viable alternative suppliers once a program is in production. This segment is largely focused on producing missiles, such as the standard missile family, which is the Navy's primary shipborne surface-to-air missile, and missile defense systems, such as the Patriot, which is an integral part of the United States' and allied nations' missile defense systems. We believe the moatiness of the defense prime contractor industry is evident through the stability of the industry structure over the last 15 years: the top seven arms producers globally have remained Lockheed Martin, Boeing's defense unit, Northrop Grumman, RTX, General Dynamics, BAE Systems, and Airbus. Further, we observe durable profit margins that do not swing in time with the general economic cycle, which further supports RTX's wide moat. Geopolitical tensions and outright warfare have reversed a longer trend toward shrinking military budgets, with NATO-aligned countries having pledged to increase their spending to 3.5% of GDP on defense versus prior targets of 2%.

Missile defense programs are a decidedly complex and long-cycle product, as these require shooting a high-velocity projectile with another projectile midair. The two leaders in short-range missile defense are the Patriot missile defense system to defend against missiles on land and Lockheed's Aegis missile defense system, which enables warships to shoot down ballistic missiles. We expect continued investment in missile defense, as adversary states are actively developing hypersonic missiles that would penetrate current systems. Raytheon's Patriot system is the primary land-based missile defense system, and it requires highly integrated radar, secure communications, and interceptors to prevent the adversary's missile from reaching its target.

We also think the missiles subsegment of this business has a wide moat. The product complexity for missiles is quite high. Modern missiles require unique technology for high-speed propulsion over many miles and a variety of guidance technologies for targeting. Finally, the customer tends to order these

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products in larger blocks, so the contractor must have substantial scale to satisfy customer needs. We believe the substantial technical know-how required to build missiles and integrate missiles within various military aircraft provides a steep barrier to entry, and that nondefense contractors would be unwilling to make the substantial fixed cost investment required to enter this market. On switching costs, while these products themselves are short cycle, as they must be purchased relatively frequently to replenish detonated munitions, we see durable switching costs in the integration of these missiles as part of longer cycle platforms such as ships and aircraft, and the mission criticality of the missile operating as intended. Modern missiles are integrated with advanced targeting technology, and an improperly functioning missile could cause civilian or allied soldier casualties. Raytheon's Standard missile family has been one of the backbones of the US' shipborne missile systems since the 1960s, and we expect that Raytheon's expertise in the field will allow it to continue winning contracts for the foreseeable future.

We also see Raytheon's sensors and secure communications business as having a wide moat. Within the sensors business, we see intangible assets stemming from the deep know-how required to create these high-end sensors and switching costs resulting from mission criticality and being deeply integrated within longer-cycle products. The ability for soldiers to understand the movements of adversaries and to jam their communications is a force multiplier for the military. Since adversaries actively work to disrupt the ability of sensors to function as intended, we expect that the customer is highly sensitive to changes in the quality of the sensor or jammer. Many of the sensors are deeply integrated into military aircraft and ships, which have product cycles lasting decades. Assuming the product continues to work as intended, we think that the difficulty of redesigning the aircraft or ship makes it such that the customer would be much more willing to upgrade the sensor than to switch to a different provider.

Fair Value and Profit Drivers Nicolas Owens, Equity Analyst, 22 Apr 2026

Our $200 fair value estimate implies a price/2026 estimated earnings multiple of 29.5 times and an enterprise value/2026 adjusted EBITDA multiple of 17.6 times.

We see the most reliable drivers of profit growth at RTX coming from its large commercial businesses Collins and Pratt & Whitney. In both segments, aftermarket parts and service should provide many years of profitable and recurring revenue as overall demand for air travel grows. Pratt & Whitney's commercial segment has survived substantial headwinds resulting from the covid-19 pandemic. It is absorbing more than $3 billion of costs to replace high-pressure turbine and compressor disks in hundreds of its engines due to a metallurgical flaw, but we expect 2026 commercial sales at the business to be 72% higher than in 2019 due to ramping up deliveries of its GTF engine to Airbus and robust aftermarket activity on the previous generation V2500. Collins' commercial exposure has a significant component placement on the Boeing 737 MAX and continues to work through coronavirus

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aftereffects on the supply chain, but postpandemic demand brought Collins' top line to surpass 2019 levels in 2023, and we expect it to grow nearly 5.7% annualized over the next five years.

We're anticipating the firm's military revenue will grow at a 5.3% CAGR over our forecast period. On a segment-by-segment basis, the driving force behind that growth is F135 engine production in Pratt, aggregate US military spending in Collins, and increased emphasis on missiles, missile defense, and the militarization of space for Raytheon.

We also forecast continued margin expansion over the short and medium term, with operating margins normalizing north of 13%. The lion's share of margin expansion comes from Pratt & Whitney, which we anticipate will benefit from both reduced negative margin on new commercial engine sales over time as well as mix shift toward higher-margin service revenue. But the business we expect to deliver the highest absolute operating margin in our forecast, at 17% adjusted operating margin and accounting for over one third of consolidated operating profit, is Collins, where numerous projects are underway to consolidate back office and engineering systems, processes, technology, and the like to deliver cost savings over the long term.

We aren't anticipating major changes to the proportion of revenue that RTX will need to invest in capital spending over the long term and will normalize around 3% of sales in subsequent years. Pratt & Whitney will need to continue to reinvest in the business to ramp up the GTF engine production, and the legacy Raytheon business will need to continue increasing production capabilities.

We think an 8% weighted average cost of capital, somewhat higher than other defense primes, is justified for this business due to its exposure to commercial aerospace.

Risk and Uncertainty Nicolas Owens, Equity Analyst, 22 Oct 2025

We assign RTX a Medium Morningstar Uncertainty Rating. The cyclicality of the company's exposure to commercial aviation and the potential for unexpected cost growth in its aerospace aftermarket business are key sources of valuation uncertainty for RTX.

We see concentrated customer risk in both commercial aerospace and defense. In commercial aerospace, there are two producers of commercial aircraft globally. In the military segments, the government customer requires transparency into supplier costs and can use its market power to negotiate favorable pricing on products.

Notwithstanding healthy rebounds in air traffic and thus RTX's commercial businesses, risks from ongoing disruption to the aerospace supply chain may hamper operations and profitability. We see quite limited risk to RTX's businesses from potential import or export tariffs due to many offsetting customs provisions in the global aerospace supply chain and the already restricted list of sources defense contractors can use for inputs.

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MORNINGSTAR®

RTX Corp RTX ★★★★ 27 Apr 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
174.26 USD 24 Apr 2026	200.00 USD 22 Apr 2026 05:05, UTC	0.87	233.49 USD Bil 27 Apr 2026	Wide	Large Blend	Medium	Exemplary	24 Apr 2026 05:00, UTC

Jet engines are highly complex products, and small errors can jeopardize the fate of a particular product. An example is the explosion of a PW4000 over Denver in 2021, which caused several aircraft to be grounded. Product failures lead to the removal of products from service, which directly affects revenue and operating income. Air travel is a carbon-intensive service, and with or without stiffer regulations on carbon emissions, the pressure is on in the aerospace industry to find technologies that will lower them. At this point, we capture known product failures in our base case, but we do not explicitly forecast the effects of any form of carbon taxation or regulation.

Capital Allocation Nicolas Owens, Equity Analyst, 22 Apr 2026

We assign RTX an Exemplary Capital Allocation Rating based on its sound balance sheet rating, exceptional investments rating, and appropriate shareholder distributions rating.

RTX's leverage metrics look reasonable to us as the firm's aerospace businesses continue to recover from the covid-19 pandemic, while the defense business is performing well overall. The firm is generating cash and does not have major maturities until after 2025, so we aren't concerned about the firm potentially needing to raise capital to meet a near-term maturity.

We view the firm's investment plans and track record through two lenses. We reward the company for aligning a handful of wide-moat businesses in closely related industries and especially for divesting its no-moat training and services business. At the more nitty-gritty level, the firm has yet to deliver on most of its intended structural cost savings from the mergers, as these play out over the years. We see early signs of progress and don't doubt there is opportunity: Departments in the same company often use different systems, let alone former competitors newly combined. It was harder to believe there were cost synergies across elevators, jet turbines, and air conditioners than across RTX's current portfolio.

We think RTX has an appropriate distribution policy. Although the firm's free cash flow did not cover its dividend in 2020, that was also the worst year in history for commercial aerospace. We think free cash flow would cover about 40% of the dividend at midcycle, which we think is an appropriate payout ratio for a mature business like RTX's. The firm is resuming share repurchases as free cash flow recovers and has committed to delivering $8 billion of repurchases to shareholders within the first four years of the merger. We like that management is setting targets for shareholder distribution, although we worry that these targets could someday tempt managers to underinvest in the business. At this point, we do not see any reason to believe these worries will manifest.

Analyst Notes Archive

US Defense: Actual War Doesn't Drive Demand for Defense Contractors; Fair Value Estimates Unchanged Nicolas Owens,Equity Analyst,2 Mar 2026

On Feb. 28, the US and Israel led widespread military strikes on Iran and signaled that the operation

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RTX Corp RTX ★★★★ 27 Apr 2026 21:17, UTC

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could last weeks. Iran retaliated, with consequences across the region and in the oil market. In premarket trading on March 2, most US defense contractors' stocks rose several percentage points.Why it matters: We see US forces engaging targets in Iran as having raised the risk of retaliation, including Iranian missiles and drones targeting US personnel and assets in the region, closing the Strait of Hormuz to stifle oil shipments, or cyberattacks more broadly. None of these scenarios benefits the defense firms we cover. If the conflict becomes prolonged and expensive, it could divert military funds to operations and logistics and away from research, development, and procurement, where defense contractors make the bulk of their money.The bottom line: We view trading action in defense stocks on news of armed conflict as only tangentially connected to the fundamentals, which are driven by long-term demand for investment in future military capabilities. We have not altered our valuations of defense contractors in light of this news. We believe long-term development and resupply of missile defense technology is already baked sufficiently into our forecasts.

RTX Earnings: Very Strong Progress Across all Three Franchises; Fair Value Estimate Increases by 6%

Nicolas Owens,Equity Analyst,28 Jan 2026

RTX delivered fourth-quarter revenue up 12% from 2024 to $24.2 billion, led by strong commercial aftermarket sales and a jump in engine deliveries. Adjusted segment profit grew 14.1% for the year to $10.85 billion, with each of the Collins, Pratt, and Raytheon segments showing improvement.Why it matters: We saw the quarter as quite robust, with sales exceeding our forecast by nearly $2 billion and each of the firm's primary business segments expanding annual operating margins. Pratt & Whitney's engine deliveries and aftermarket revenue outstripped our forecast and continued a trend of double-digit expansion in that franchise, driven by high global aircraft utilization, especially among older jets as airlines await delayed newer models due to ongoing supply chain backups. Looking ahead, management provided more-moderate mid-single-digit commercial growth estimates for 2026, bolstered by the promise of continued margin improvement in each of its three franchises, stemming variously from cost-cutting at Collins, business mix at Pratt & Whitney, and plain old operating leverage at Raytheon. The bottom line: We've increased our fair value estimate for wide-moat RTX's shares to $179 from $169, reflecting our increased confidence that the company can meet aftermarket demand and expand margins for longer than we previously anticipated. The shares appreciated handsomely in 2025 and trade approximately 12% above our new fair value estimate.

US Defense: President's Budget Comment Buoys Share Prices; Fair Value Estimates Unchanged

Nicolas Owens,Equity Analyst,8 Jan 2026

In early trading on Jan. 8, after President Donald Trump declared he would seek a $1.5 trillion fiscal 2027 defense budget, shares of US defense contractors appreciated by as much as 5%.Bulls say: While across-the-board increases in military procurement spending would likely benefit existing and new defense contractors broadly, those most closely aligned to the administration's priorities, such as

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expanding missile defense systems into space and shipbuilding, could see particular boosts to their order books and potentially their bottom lines. We view a $1.5 trillion defense budget as a potential scenario at this point, worth considering but far from a fait accompli. Moreover, on the heels of the president's executive order prohibiting defense contractors to pay dividends or buy back shares if they fall behind on military contracts and investments in capacity, we expect future spending will have new strings attached.The bottom line: For the moment, we are not altering our forecasts, which include robust increases to existing and prioritized programs, and our fair value estimates for US defense contractors are unchanged. In our estimation, US defense contractors remain mostly fairly valued after their two-day trading whipsaw, ranging from 94% of fair value for Northrop Grumman to RTX's 111%.

US Defense: President's Buybacks Comment Roils Share Prices; Fair Value Estimates Unchanged

Nicolas Owens,Equity Analyst,7 Jan 2026

In afternoon trading on Jan. 7, after reports that President Trump had suggested he would prohibit US defense contractors' dividends and stock repurchases, shares of US defense contractors declined by as much as 5%. Bears say: As on Oct. 15, 2025, when Secretary of the Treasury Scott Bessent made similar remarks, investors seem to have discounted the shares of US defense contractors based on an estimation that the US government can and will restrict share repurchases by US defense contractors. Key stats: As a group, the top seven US defense contractors have repurchased $128 billion in stock over the last 10 years, representing about 2.5% of their average market capitalization, and a similar proportion of US defense outlays for research, development, procurement, and maintenance during that period. Boeing ceased share repurchases in 2019 and effectively reversed all of its buybacks since mid-2017, when it issued $18 billion in new shares to raise capital in 2024. The bottom line: While share repurchases inform our evaluation of companies' capital allocation policies, they do not impact our fair value estimates, which reflect the present value of our forecast free cash flow for the firm. In our estimation, US defense contractors remain mostly fairly valued after their selloff, ranging from 93% of fair value for Boeing to RTX's 110%.

RTX Earnings: Growth and Margin Expansion in All Segments; Fair Value Estimate Increases by 7.5%

Nicolas Owens,Equity Analyst,22 Oct 2025

RTX delivered third-quarter revenue up 11.9% from the year-ago quarter to $22.5 billion, again led by strong commercial aftermarket sales. Segment operating profit grew nearly 20% to $3 billion at a 12.1% margin, with each of the Collins, Pratt, and Raytheon segments showing improvement.Why it matters: We saw the quarter as quite robust, with each of the firm's primary business segments delivering solid sales performance and expanding adjusted segment margins, overall exceeding our revenue forecast in the quarter by $1 billion. Especially robust 23% growth in the quarter of Pratt & Whitney's engine aftermarket revenue again outstripped our forecast and continues a trend of double-digit expansion in that franchise, driven by high global aircraft utilization, especially among older jets as airlines await

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delayed newer models due to ongoing supply chain backups. A highlight of RTX's third-quarter results was its report that output of parts for the PW1100 family of engines is up 21% year to date, suggesting the long-awaited loosening of the supply chain bottlenecks for specialized castings and forgings that go into the engines may be at hand. The bottom line: We've increased our fair value estimate for wide-moat RTX's shares to $169 from $157, reflecting our increased confidence that the company can meet aftermarket demand and expand margins for longer than we previously anticipated. The shares have appreciated in 2025 and trade within 4% of our new fair value estimate.

US Defense: Treasury Secretary's Buybacks Comment Roils Share Prices; Fair Value Estimates Unchanged Nicolas Owens,Equity Analyst,15 Oct 2025

In afternoon trading on Oct. 15, after reports of a comment by US Treasury Secretary Scott Bessent about US defense contractors' stock repurchases at the "Invest in America Forum" hosted by CNBC, shares in the sector traded downward between around 1% and 3%. Bears say: According to a preliminary transcript, Secretary Bessent said on behalf of the US government that, "we...as their biggest customer may have to prod them to do a little more research, do a little few[er] stock buybacks, which is really what got Boeing into trouble." Investors seem to have discounted the shares of US defense contractors based on an estimation that the Treasury Secretary or the US government can and will restrict share repurchases by US defense contractors. Key stats: As a group, the top seven US defense contractors have repurchased $128 billion of stock in the last 10 years, or about 2.5% of their average market capitalization, and a similar proportion of US defense outlays for research, development, procurement, and maintenance in that time. Boeing ceased share repurchases in 2019 and effectively reversed all of its buybacks since mid-2017 when it issued $18 billion of new shares to raise capital in 2024. The bottom line: While share repurchases inform our evaluation of companies' capital allocation policies, they do not impact our fair value estimates, which reflect the present value of our forecast free cash flow to the firm. In our estimation, US defense contractors remain mostly fairly valued after their selloff, ranging from 87% of fair value for Boeing to L3Harris's 110%.

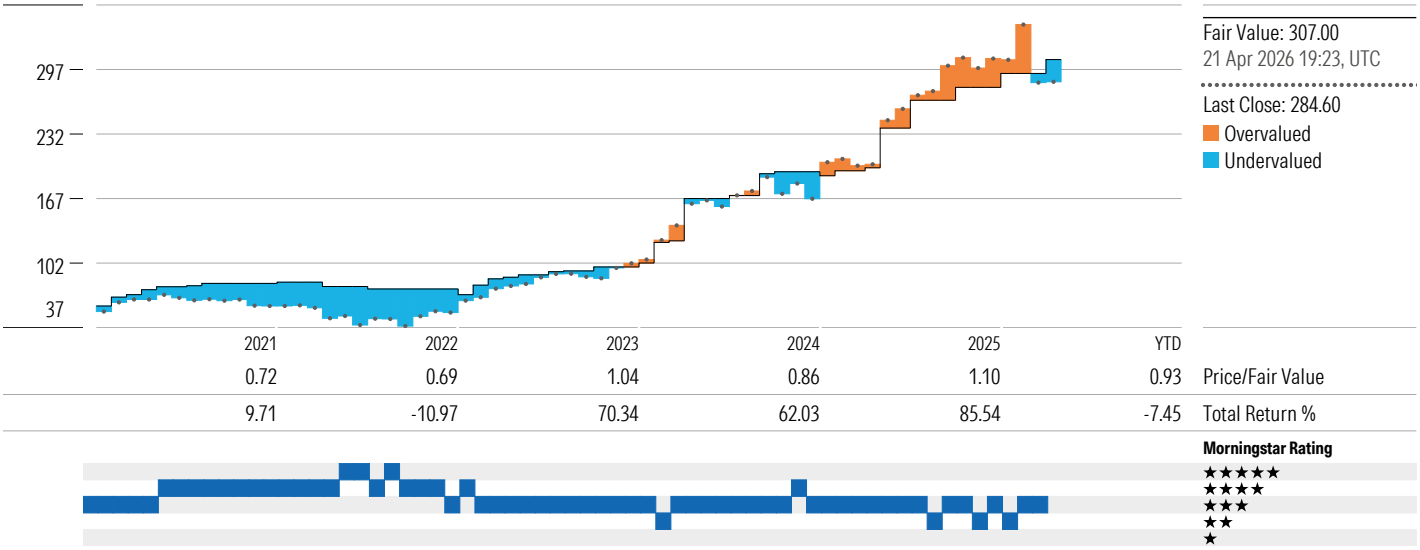
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RTX Corp RTX ★★★★ 27 Apr 2026 21:17, UTC

Competitors Price vs. Fair Value

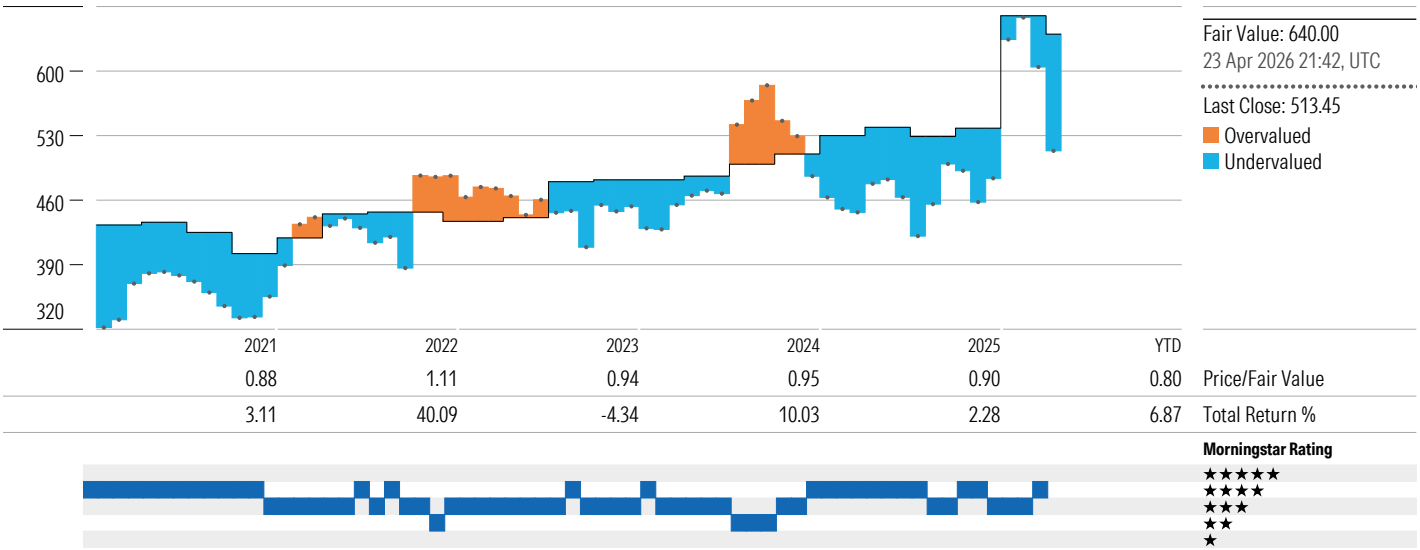
GE Aerospace GE



	2021	2022	2023	2024	2025	YTD	
	0.72	0.69	1.04	0.86	1.10	0.93	Price/Fair Value
	9.71	-10.97	70.34	62.03	85.54	-7.45	Total Return %

Total Return % as of 24 Apr 2026. Last Close as of 24 Apr 2026. Fair Value as of 21 Apr 2026 19:23, UTC.

Lockheed Martin Corp LMT



	2021	2022	2023	2024	2025	YTD	
	0.88	1.11	0.94	0.95	0.90	0.80	Price/Fair Value
	3.11	40.09	-4.34	10.03	2.28	6.87	Total Return %

Total Return % as of 24 Apr 2026. Last Close as of 24 Apr 2026. Fair Value as of 23 Apr 2026 21:42, UTC.

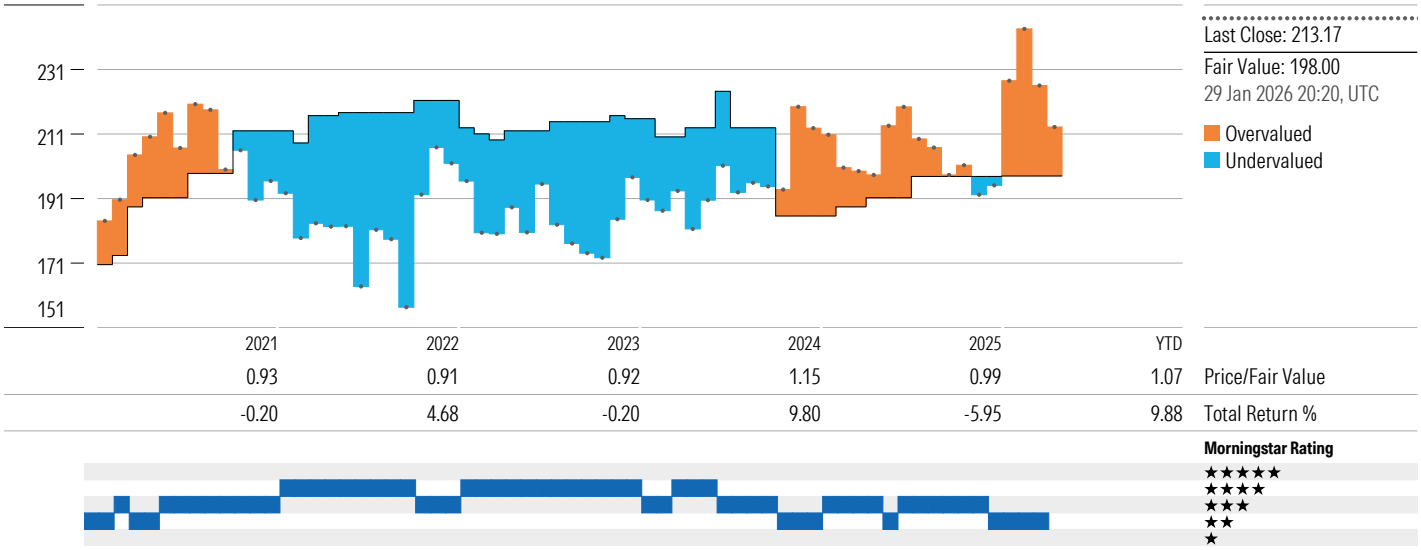
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Competitors Price vs. Fair Value

Honeywell International Inc HON



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.93	0.91	0.92	1.15	0.99	1.07
Total Return %	-0.20	4.68	-0.20	9.80	-5.95	9.88

Total Return % as of 24 Apr 2026. Last Close as of 24 Apr 2026. Fair Value as of 29 Jan 2026 20:20, UTC.

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Morningstar Valuation Model Summary

Financials as of 21 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	68,920	80,738	88,603	93,819	100,455	105,384	109,709	113,745
Operating Income (USD Mil)	8,895	10,183	11,389	11,933	12,780	13,359	14,338	15,168
EBITDA (USD Mil)	7,772	10,902	13,678	15,127	16,091	16,749	17,778	18,616
Adjusted EBITDA (USD Mil)	13,106	14,547	15,767	16,792	17,591	17,849	18,878	19,716
Net Income (USD Mil)	3,195	4,774	6,732	7,934	8,981	9,529	10,262	11,069
Adjusted Net Income (USD Mil)	7,263	7,705	8,531	9,199	9,526	9,660	10,329	11,064
Free Cash Flow To The Firm (USD Mil)	10,987	10,023	13,504	8,502	15,103	12,594	12,960	13,816
Weighted Average Diluted Shares Outstanding (Mil)	1,435	1,344	1,356	1,356	1,355	1,355	1,355	1,355
Earnings Per Share (Diluted) (USD)	2.23	3.55	4.96	5.85	6.63	7.03	7.57	8.17
Adjusted Earnings Per Share (Diluted) (USD)	5.06	5.73	6.29	6.78	7.03	7.13	7.62	8.16
Dividends Per Share (USD)	2.32	2.48	2.67	2.84	3.00	3.20	3.40	3.60

Margins & Returns as of 21 Apr 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	7.9	12.9	12.6	12.9	12.7	12.7	12.7	13.1	13.3	11.7
EBITDA Margin %	—	11.3	13.5	15.4	16.1	16.0	15.9	16.2	16.4	—
Adjusted EBITDA Margin %	—	19.0	18.0	17.8	17.9	17.5	16.9	17.2	17.3	17.4
Net Margin %	6.0	4.6	5.9	7.6	8.5	8.9	9.0	9.4	9.7	9.1
Adjusted Net Margin %	9.9	10.5	9.5	9.6	9.8	9.5	9.2	9.4	9.7	9.5
Free Cash Flow To The Firm Margin %	14.5	15.9	12.4	15.2	9.1	15.0	12.0	11.8	12.2	12.0

Growth & Ratios as of 21 Apr 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	9.7	2.8	17.2	9.7	5.9	7.1	4.9	4.1	3.7	5.1
Operating Income Growth %	12.9	12.4	14.5	11.8	4.8	7.1	4.5	7.3	5.8	5.9
EBITDA Growth %	15.6	-19.1	40.3	25.5	10.6	6.4	4.1	6.2	4.7	6.4
Adjusted EBITDA Growth %	9.5	9.0	11.0	8.4	6.5	4.8	1.5	5.8	4.4	4.6
Earnings Per Share Growth %	12.4	-36.4	59.6	39.7	17.9	13.3	6.1	7.7	7.9	10.5
Adjusted Earnings Per Share Growth %	12.4	6.2	13.3	9.7	7.9	3.6	1.4	6.9	7.1	10.5

Valuation as of 21 Apr 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	16.6	20.2	29.2	25.6	24.7	24.3	22.8	21.2
Price/Sales	1.8	1.9	2.8	2.5	2.3	2.2	2.1	2.1
Price/Book	2.0	2.6	3.8	3.4	3.2	3.0	2.8	2.6
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	11.6	13.1	17.8	15.8	15.1	14.9	14.1	13.5
EV/EBIT	17.1	18.8	24.7	22.3	20.8	19.9	18.5	17.5
Dividend Yield %	2.8	2.1	1.5	1.6	1.7	1.8	2.0	2.1
Dividend Payout %	45.9	43.3	42.4	41.9	42.7	44.9	44.6	44.1
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 21 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	2.0	3.0	4.0	4.4	4.7	4.8	5.1	5.3
ROE %	5.2	7.7	10.0	11.2	11.8	11.8	11.8	11.9
ROIC %	7.4	7.0	7.6	8.0	8.8	9.5	10.2	10.9

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	18.4	27.2	—	13.2	13.7	12.9	12.0	11.7
Assets/Equity	2.6	2.6	2.5	2.5	2.5	2.4	2.3	2.3
Net Debt/EBITDA	3.5	3.5	—	1.6	1.0	0.5	0.2	-0.2
Total Debt/EBITDA	2.6	3.1	—	2.6	2.8	2.7	2.5	2.5
EBITDA/ Net Interest Expense	-47.7	42.3	27.8	44.8	23.5	15.5	14.2	15.9

Forecast Revisions as of 21 Apr 2026	2026		2027		2028	
Prior data as of 27 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	200.00	179.09	—	—	—	—
Revenue (USD Mil)	93,819	93,937	100,455	100,585	105,384	105,524
Operating Income (USD Mil)	11,933	11,954	12,780	12,803	13,359	13,385
EBITDA (USD Mil)	16,792	16,817	17,591	17,618	17,849	17,879
Net Income (USD Mil)	9,199	9,216	9,526	9,545	9,660	9,681
Earnings Per Share (Diluted) (USD)	5.85	5.86	6.63	6.64	7.03	7.05
Adjusted Earnings Per Share (Diluted) (USD)	6.78	6.80	7.03	7.04	7.13	7.14
Dividends Per Share (USD)	2.84	2.84	3.00	3.00	3.20	3.20

Key Valuation Drivers as of 21 Apr 2026

Cost of Equity %	8.4
Pre-Tax Cost of Debt %	6.5
Weighted Average Cost of Capital %	8.0
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	7.5
Stage II Investment Rate %	9.2
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 21 Apr 2026

	USD Mil
Present Value Stage I	49,549
Present Value Stage II	125,717
Present Value Stage III	120,742
Total Firm Value	**296,008**
Cash and Equivalents	7,435
Debt	37,904
Other Adjustments	0
Equity Value	**265,539**
Projected Diluted Shares	1,355
Fair Value per Share (USD)	**200.00**

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RTX Corp RTX ★★★★ 27 Apr 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
174.26 USD 24 Apr 2026	200.00 USD 22 Apr 2026 05:05, UTC	0.87	233.49 USD Bil 27 Apr 2026	Wide	Large Blend	Medium	Exemplary	 24 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown

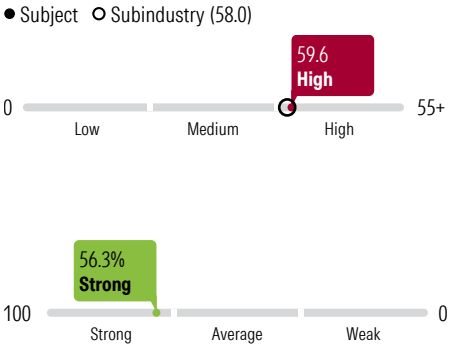
Exposure

Company Exposure[1]	59.6
– Manageable Risk	53.5
Unmanageable Risk[2]	**6.1**

Management

Manageable Risk	53.5
– Managed Risk[3]	30.2
Management Gap[4]	**23.4**

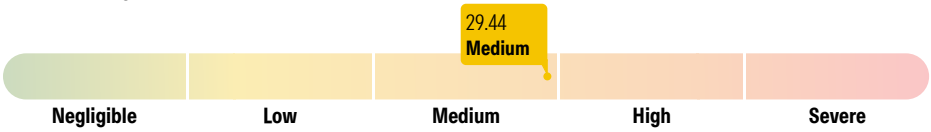
Overall Unmanaged Risk **29.4**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 24, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Aerospace and Defence. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 56.3% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 24 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
RTX Corp	59.6 | High	0	55+	56.3 | Strong	100	0	29.4 | Medium	0	40+
GE Aerospace	55.6 | High	0	55+	52.1 | Strong	100	0	29.6 | Medium	0	40+
Lockheed Martin Corp	54.5 | Medium	0	55+	50.7 | Strong	100	0	29.7 | Medium	0	40+
L3Harris Technologies Inc	56.3 | High	0	55+	53.7 | Strong	100	0	28.9 | Medium	0	40+
Honeywell International Inc	59.2 | High	0	55+	65.8 | Strong	100	0	23.9 | Medium	0	40+

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Appendix

Historical Morningstar Rating

RTX Corp RTX 25 Apr 2026 01:39, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

GE Aerospace GE 25 Apr 2026 01:21, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★

Lockheed Martin Corp LMT 25 Apr 2026 01:33, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★★	★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★

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Honeywell International Inc HON 25 Apr 2026 01:28, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

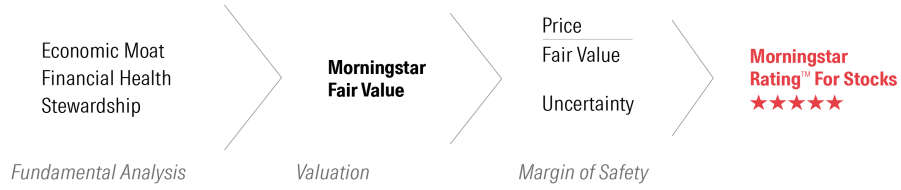
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

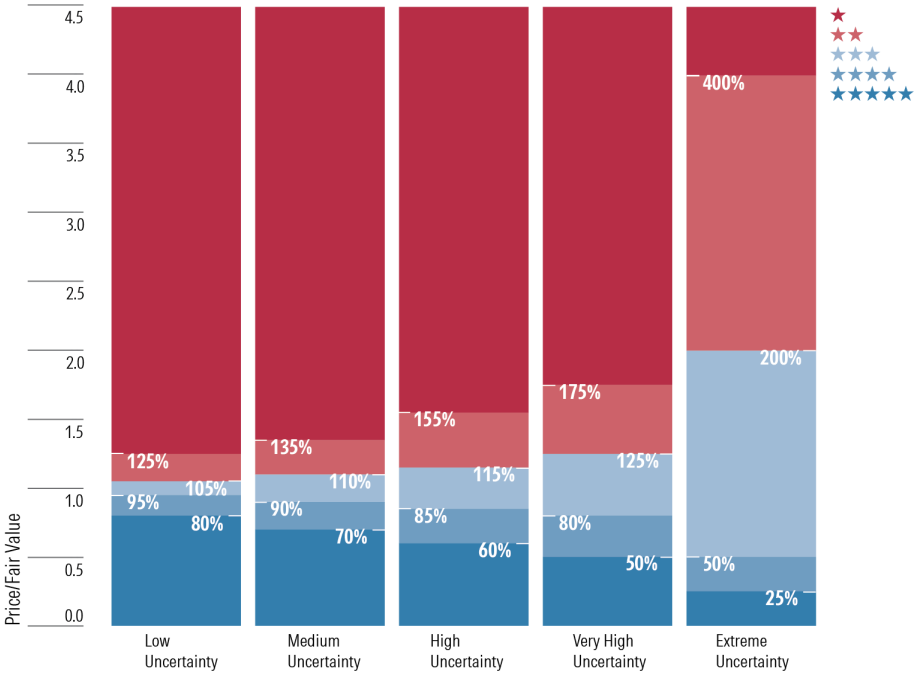
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

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